

ROAD TO SEPTEMBER 9

Edition 4 · Tuesday, 28 July 2026 · 43 Days to Submission

The Inventory Problem

*“You cannot cost what you cannot count.
You cannot count what you never recorded.”*

EXECUTIVE SNAPSHOT

Every demonstration this series has examined rests on a single foundation. The thirteen components assume you know what the plan covers. The cost estimate assumes you know what is being priced. The Fund assumes the estimate captured everything the Commission will one day ask you to remove.

That foundation is the asset inventory, and for most operators it does not exist in the form the Regulations demand. The operational asset register was built to answer a different question. It tracks what produces. Decommissioning is priced on what remains.

This edition examines what a decommissioning-grade inventory requires, and why operators who acquired assets from prior owners carry a register risk they did not create but now own.

INTELLIGENCE BRIEF

An operations register is a living document with a short memory. It exists to keep production running, so it records what matters to production: the flowing wells, the active lines, the vessels in service, the tanks receiving crude. It is updated when something is installed and consulted when something breaks. It is rarely updated when something is abandoned in place.

The dead leg isolated in 2004 drops off the maintenance schedule and then off the record. The buried flowline replaced during a re-route stays in the ground while its successor takes its place in the register. The legacy burn pit predates the current operator's tenure. The sludge at the bottom of a thirty-year-old tank has never been measured because measuring it was never an operational requirement. Scale bearing naturally occurring radioactive material sits inside tubulars that stopped flowing before some of your current staff were hired.

None of it produces. All of it remains. Every item is a decommissioning obligation, and the Regulations do not price your register. They price your asset.

The gap between the recorded asset and the real one runs in one direction only. Nobody discovers during decommissioning that there is less to remove than the record showed.

WHAT THE REGULATIONS REQUIRE

1. The inventory is a mandatory component, not a summary.

Component five of Regulation 5(13) makes the inventory a required element of every decommissioning programme. Not a description. Not the operations register exported to a spreadsheet. An enumeration built for decommissioning, which means it must count what operations was allowed to forget:

- **Wells.** Every wellbore on the asset, flowing, shut-in, suspended or forgotten, each one a plug and abandonment scope.
- **Pipelines and flowlines.** In service, out of service, replaced in place, buried and unrecorded.
- **Vessels and rotating equipment.** Including units isolated and left in situ.
- **Tanks and their contents.** The tank is a removal scope. The sludge inside it is a separate treatment and disposal scope, priced by a volume you have likely never measured.
- **Pits, sumps and legacy sites.** Including those predating the current operator.
- **Contaminated soils and remediation scopes.** To the close-out standard the 2026 instruments now define.
- **NORM.** Identified and quantified under its own regulatory regime, not discovered by a contractor mid-execution.

2. The inventory sets the estimate, and the estimate sets the Fund.

Edition 3 established that the cost estimate directly determines the yearly cash contribution under Regulation 20. The inventory sits one step further upstream. An omitted category does not merely understate a line in the estimate. It understates the contribution schedule, which understates the Fund, which fails the adequacy test the Commission applies at the moment the omission surfaces. Three demonstrations fail from one uncounted tank.

3. The obligation travels with the asset.

Regulation 23 confirms that decommissioning obligations remain attached to the asset, notwithstanding assignment of the interest. Section 38 of the Act carries the same principle into

the transfer itself. When the licence changed hands, the seller's record-keeping changed hands with it. The dead legs a previous owner never logged, the pits a previous owner never closed, the sludges a previous owner never measured are now enumerated, costed and funded under your name, in your submission, against your Fund.

There is no discounted standard for inherited assets and no carve-out for conditions predating your tenure. The Commission assesses the plan you file, on the asset as it actually is. Divestment-era portfolios feel this hardest: the operators who acquired mature onshore and shallow-water assets over the last decade bought producing fields with decades of history, and in many cases the historical records did not survive the transfer intact. The asset did.

EXECUTIVE DASHBOARD

Indicator	Status
Countdown to Submission	43 Days
Submission Deadline	9 September 2026
Governing Provision	Regulation 5(13), component five
Inherited Liability	Regulation 23 · obligation attaches to the asset
Baseline Survey Lead Time	Weeks to months, subject to contractor availability
Executive Risk Level	Increasing ▲

THE BOARDROOM QUESTION

If the Commission asked for a complete inventory of everything on your oldest asset, wells, lines, vessels, tanks, sludges, NORM, who in your organisation could produce it, and what would it miss?

Most organisations can produce a register. The Regulations ask for a count.

WHERE INVENTORIES FAIL

The weaknesses are rarely analytical. They are archival.

- ✓ The operations register exported, reformatted and filed as the inventory
- ✓ Acquired assets inventoried from the records the seller chose to hand over
- ✓ Sludges, soils and NORM carried as an allowance rather than a measured quantity
- ✓ Undocumented wellbores on older fields, each one a full P&A scope when found
- ✓ No named executive who owns the completeness of the count

Engineering usually discovers these during execution. Governance should discover them now.

STRATEGIC IMPLICATION

Plans demonstrate intent. Funding demonstrates capability. Evidence demonstrates compliance. All three are downstream of the count.

A register gap found today is a survey scope with a defined cost and a schedule you control. The same gap found during execution is a variation order against a Fund sized to the smaller number, argued in front of a Commission holding your own filed enumeration. For acquirers of mature assets, the inventory is where inherited liability becomes visible for the first time, and the countdown decides which price applies.

WHAT LEADING OPERATORS WILL BE DOING THIS WEEK

- Pulling the register for the oldest producing asset and marking every line added, retired or replaced in the last ten years, because the unmarked remainder is where the gaps live
- Interviewing the longest-serving field staff before that institutional memory retires
- Scoping a decommissioning baseline survey for what the register cannot answer: sludge volumes, buried lines, legacy pits, NORM screening
- Mapping acquisition completion records against what Regulation 23 now requires of them
- Assigning a single accountable executive for inventory completeness

REGULATION WATCH

Regulation 5(13) prescribes the thirteen mandatory components of every decommissioning programme. Component five is the inventory of wells, installations, structures and associated materials.

Regulation 23 confirms that decommissioning obligations remain attached to the asset, notwithstanding assignment of the interest. The record-keeping deficit travels with it.

S.I. No. 15 and S.I. No. 16 of 2026 define respectively the close-out and monitoring standard against which remediation scopes will be assessed, and the statutory fee schedule attaching to the process. Both price categories that only a decommissioning-grade inventory can enumerate.

DAY ZERO INSIGHT

The Commission does not penalise an operator for owning an old asset.

It penalises an operator who cannot say what the asset contains.

On 9 September, an honest count will outrank a flattering one.

EXECUTIVE CHECKLIST

- Current register pulled and dated, per asset
- Ten-year change history marked, unexplained static entries flagged
- Field-staff memory capture scheduled
- Baseline survey scoped: sludges, buried lines, pits, NORM
- Acquisition records mapped against Regulation 23 obligations
- Inventory reconciled to the cost estimate and the Fund projection
- Accountable executive named for inventory completeness

LOOKING AHEAD

Edition 5: The Deferral Option.

Not every asset must be decommissioned now. The Regulations provide a recognised pathway with its own application, evidence standard and conditions. Edition 5 examines when deferral is available, what the Commission requires before it will grant one, and why a deferral application is a technical demonstration rather than a postponement request.

*Road to September 9 is a weekly executive intelligence publication by **Day Zero Energy Limited**, providing strategic insights on decommissioning, abandonment and regulatory compliance for Nigeria's upstream petroleum industry.*

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